

DVA v DVC

[2026] SGHC(I) 6, Originating Application No 8 of 2026 (Summons No 25 of 2026)

Singapore International Commercial Court

Jurisdiction

Singapore

Area of law

contract, commercial law, civil procedure

Legal question

Whether the main action (OA 8) constitutes an 'offshore case' within the meaning of O 3 r 3 of the Singapore International Commercial Court Rules 2021, defined as an action that has no substantial connection with Singapore. The defendant bore the burden of establishing that the action had no substantial connection with Singapore.

Key facts

The first claimant is a Singapore-incorporated company and the second claimant is a US-incorporated company operating a cryptocurrency trading platform. The defendant, a UAE resident and longstanding platform customer, held significant cryptocurrency assets on the platform. In March 2020, 2,500 Bitcoin and 2,500 Bitcoin Cash were withdrawn from the defendant's specialized wallets due to disputed circumstances. In July 2024, due to system errors, 2,500 BTC and 2,500 BCH were mistakenly re-credited to the defendant's wallets on the platform. The defendant subsequently transferred approximately 800 BTC (valued at approximately \$816,773 in USD Coin) off the platform to unhosted wallets. The claimants discovered the ledger error in January 2025 and froze the defendant's wallets, recovering the remaining 1,700 BTC and 2,500 BCH. The claimants sought return of the transferred assets; negotiations failed and the claimants commenced proceedings in November 2025, which were transferred to the SICC.

Holding

The court dismissed the defendant's application for a determination that the case was an offshore case. The court found that the action had a substantial connection with Singapore, primarily because the Platform User Agreement between the defendant and the first claimant was to be performed in Singapore and the terms of this agreement were central to resolving both the claims and counterclaims. Although the cryptocurrency assets themselves were not located in Singapore, the proprietary claims were ultimately founded on the Platform User Agreement's terms, making contractual causes of action not merely ancillary but integral to the dispute. The defendant's counterclaim, which exceeded the claimants' claims in quantum, was based on alleged breaches of the Platform User Agreement, particularly clause 5.19, and the court held that counterclaims must be considered holistically as part of the action when assessing substantial connection. The fact that the first claimant's obligations under the agreement were expressly to be performed in Singapore provided a strong indication of substantial connection with Singapore.

Significance

This decision clarifies the test for determining whether commercial litigation in the SICC constitutes an 'offshore case' under the SICC Rules. It establishes that contractual terms central to resolving proprietary disputes cannot be relegated to subsidiary status merely because the subject matter (here, cryptocurrency assets) is not physically located in the forum jurisdiction. The judgment demonstrates that the 'broad test' requires holistic consideration of all claims and counterclaims together, and that the place of contractual performance is a significant connecting factor. The decision has practical implications for cryptocurrency and digital asset disputes, establishing that such cases may have substantial Singapore connections through contractual arrangements even when assets are held and controlled abroad.

Precedent impact

The judgment applies and develops principles established in earlier cases such as *Teras Offshore Pte Ltd v Teras Cargo Transport (America) LLC* [2016] 4 SLR 75, *AKRO Group DMCC v Discovery Drilling Pte Ltd* [2019] 4 SLR 222, and *BNP Paribas SA v Jacob Agam* [2018] 4 SLR 57. It reinforces that the place of performance of contractual obligations is an important factor in assessing substantial connection, following the BNP precedent regarding loan agreements. The decision establishes new guidance for how courts should treat counterclaims when assessing whether a case is offshore, requiring holistic analysis rather than separate evaluation of claims and counterclaims. It also addresses the treatment of cryptocurrency assets' situs by reference to the controller's location, applying principles from *Cheong Jun Yoong v Three Arrows Capital Ltd* [2024] 4 SLR 907.

Full judgment URL

https://www.elitigation.sg/gd/s/2026_SGHCI_6